Both the industrial DFIs set up in the public sector after Independence —IFCI and IDBI—are now either totally sick (IFCI) or closed and merged in a bank (IDBI merged in IDBI Bank). There are some specialized DFIs (NABARD for agriculture and rural development, PFC and REC for power, SIDBI for small-scale industry and IIFCL for infrastructure finance) that still exist. There is no DFI in the private sector (ICICI got merged in ICICI Bank) as such although there is a significant number of NBFCs and HFCs that have assumed leadership position in sectoral development finance, such as HDFC in housing finance.

The asset management industry, which began to emerge from the 1970s, has been established by PSBs, PVBs and other financial institutions. The majority of MF assets are in the hands of asset management companies promoted by private-sector banking companies and financial institutions.

There has been notable opening of the financial sector since 1992. However, significant stakes still remain in the public sector: PSBs control more than 70 per cent of deposits and 60 per cent of credit; LIC has around 70 per cent of life insurance assets; the general reinsurance business is the monopoly of public-sector GIC and infrastructure finance is still largely in the hands of government-controlled companies.

Barring LIC and SBI, most of the public-sector financial industry is financially sick, capital-constrained and inefficient. The government has to use scarce taxpayer resources to constantly capitalize these corporations. In the past three years, it has pumped in more than Rs 3 lakh crore of equity in banks, general insurance companies and infrastructure finance companies. There is hidden sickness in power-sector finance companies. A large bill might be awaiting the government.